

MACRO IMPULSE

Mixed / neutral
Composite score +0.04

SELL-OFF RISK

Low/Medium
Faster/higher hikes risk 2.3/5

RALLY RISK

Medium
Cuts priced back / hikes reduced 2.8/5

FRONT REPRICING

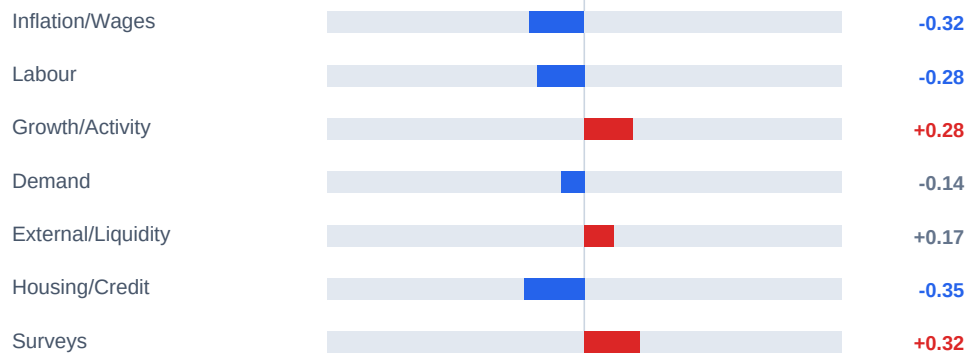
+10.5bp
Avg of front tenors and forwards

LARGEST TENOR

5y5y +63bp
Largest absolute selected move

Macro impulse by driver

Left = rally/cuts pressure. Right = sell-off/hike pressure.

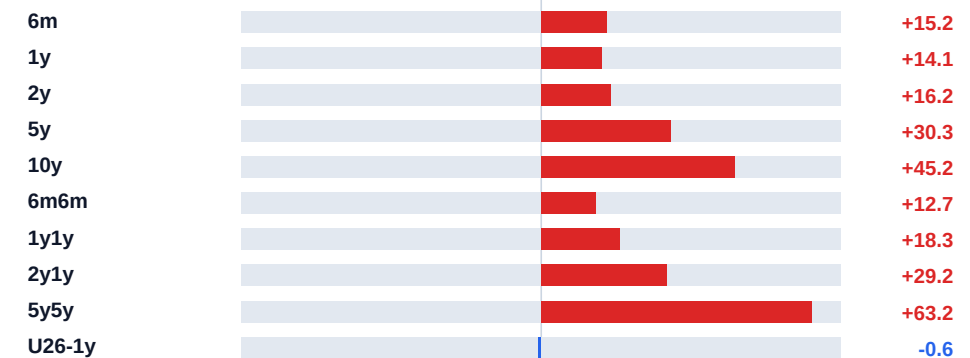


What defines it now

Mixed / neutral. Dominant drivers: Growth/Activity +0.3, Inflation/Wages -0.3, External/Liquidity +0.2.

Rates / bond repricing ladder

bp move since 25Feb26. Positive = rates sold off / hikes priced.



Front avg +10.5bp | Belly +31.6bp | Long +48.8bp

Decision panel

Rally bias

Receive / fade the sell-off in 5y5y +63bp, 10y +45bp if the next growth/activity releases confirm softer momentum.

Data arguing for sell-off / faster hikes

- 29 May Jobless Rate: 2.50 vs 2.70 survey (hawkish, score +3.0)
- 15 May PPI YoY: 4.90 vs 3.00 survey (hawkish, score +3.0)
- 21 May Trade Balance: 302 vs -44.5 survey (hawkish, score +3.0)

Data arguing for rally / cuts back in

- 01 Jun Capital Spending YoY: 0.00 vs 4.00 survey (dovish, score -3.0)
- 08 Jun GDP Deflator YoY: 3.20 vs 3.40 survey (dovish, score -3.0)
- 22 May Natl CPI Ex Fresh Food YoY: 1.40 vs 1.70 survey (dovish, score -3.0)

Snapshot: 12 indicators defining JPY now

Selection prioritizes recency, relevance, diversity of drivers and size of surprise/trend.

Date	Driver	Indicator	Actual	Survey	Prior	Read
15 Jun	Growth/Activity	Tertiary Industry Index MoM	1.30	0.55	-0.20	Hawkish +2.1
08 Jun	Inflation/Wages	GDP Deflator YoY	3.20	3.40	3.40	Dovish -3.0
08 Jun	Growth/Activity	GDP SA QoQ	0.50	0.30	0.50	Hawkish +2.1
01 Jun	Demand	Capital Spending YoY	0.00	4.00	6.50	Dovish -3.0
29 May	Labour	Jobless Rate	2.50	2.70	2.70	Hawkish +3.0
22 May	Inflation/Wages	Natl CPI YoY	1.40	1.60	1.50	Dovish -2.1
15 May	Inflation/Wages	PPI YoY	4.90	3.00	2.60	Hawkish +3.0
13 May	External/Liquidity	BoP Current Account Balance	4,682	3,896	3,933	Hawkish +2.6
01 May	Surveys	S&P Global Japan PMI Mfg	55.1	NA	51.6	Hawkish +1.5
28 Apr	Labour	Job-To-Applicant Ratio	1.18	1.19	1.19	Dovish -1.3
15 Apr	Growth/Activity	Core Machine Orders MoM	13.6	-1.05	-5.53	Hawkish +3.0
01 Apr	Surveys	Tankan Large Non-Mfg Index	36.0	33.0	34.0	Hawkish +1.8

Read: hawkish = stronger/hotter data or lower unemployment; dovish = weaker/cooler data or higher unemployment. When no survey exists, read uses actual versus prior with lower weight.

Indicator balance



Dovish 100 Neutral 49 Hawkish 116

Most important driver:
Growth/Activity (+0.28).

Tenors to track



Interpretation

Receive / fade the sell-off in 5y5y +63bp, 10y +45bp if the next growth/activity releases confirm softer momentum.

Indicator web: what to watch and where it should hit the curve

Use this as the monitoring map. Each box links a data driver to the rate tenors most likely to move.

Growth/Activity

+0.28

Track: Tertiary Industry Index MoM; GDP SA QoQ

Sell-off: GDP/IP/production beats; output momentum holds.

Rally: GDP/IP/production misses; slowdown broadens.

Tenor focus: 2y, 2y1y, 5y

Inflation/Wages

-0.32

Track: GDP Deflator YoY; Natl CPI YoY

Sell-off: Hot CPI/PPI/wages versus survey or prior.

Rally: Cool CPI/PPI/wages; oil relief passes through.

Tenor focus: 6m, 1y, 6m6m

External/Liquidity

+0.17

Track: BoP Current Account Balance; Japan Buying Foreign Bonds

Sell-off: Exports/reserves/current account beat.

Rally: Trade/reserves/current account deteriorate.

Tenor focus: 2y1y, 5y, 10y

Surveys

+0.32

Track: S&P Global Japan PMI Mfg; Tankan Large Non-Mfg Index

Sell-off: PMI/sentiment rebounds above 50 or beats.

Rally: PMI/sentiment drops, especially below 50.

Tenor focus: 6m6m, 1y1y

Housing/Credit

-0.35

Track: Monetary Base YoY; Monetary Base End of period

Sell-off: Credit/property/money growth accelerates.

Rally: Credit/property weakens; money growth fades.

Tenor focus: 2y, 5y, 1y1y

Labour

-0.28

Track: Jobless Rate; Job-To-Applicant Ratio

Sell-off: Payrolls/jobs beat or unemployment falls.

Rally: Employment misses or unemployment rises.

Tenor focus: 1y, 2y, 1y1y

Demand

-0.14

Track: Capital Spending YoY; Household Spending YoY

Sell-off: Retail/spending/consumer indicators re-accelerate.

Rally: Retail/consumption misses; confidence falls.

Tenor focus: 1y, 2y, 2y1y

Policy/Fiscal

+0.00

Track: BOJ Target Rate

Sell-off: Policy stays tight or fiscal impulse expands.

Rally: Rate cuts, dovish guidance or fiscal drag.

Tenor focus: 6m, 1y, IMM 1Y